



The Estée Lauder Companies is going through a period of churn as the global beauty conglomerate—the parent of La Mer, Jo Malone London, Tom Ford, Aerin Beauty, Le Labo, Estée Lauder, and Kilian Paris brands—looks to turn things around amid loss of market share and slowing sales in China. Stéphane de La Faverie, the 51-year-old President and CEO of the \$15.6 billion company, took on the task of reviving the brand's fortunes in January. During a recent visit to India, de La Faverie spoke to *Business Today's* Krishna Gopalan on the India strategy, emerging trends and what keeps growth going. Edited excerpts:

Q: How different is India from the other markets where you operate?

A: The more time I spend here, the more excited I am about the opportunity. First, it is extremely strategic for us. We have been here for 20 years, and our approach is to innovate constantly. It could be through our partnership with StartUp India to strengthen the innovation ecosystem and empower the next generation of Indian entrepreneurs or launching La Mer or touching consumers through a multitude of pin codes. I see a lot of potential here because of the rise of the middle class.

Just look at the pre-Covid phase and what we have today. The big change in India has been digitalisation. What we see here is almost unheard of in any other part of the world. Things are growing faster and getting bigger, making the opportunity very large. We work with our retail partners like Nykaa or Tira (owned by Reliance Retail). There is a lot that can be done both online as well as in the brick-and-mortar format.

Q: The word strategy is mentioned multiple times in your annual report.

A: You must know where consumers are going. They are at the centre of the story, and one must understand how and where they are evolving. We have a concept called Compass (a long-range planning tool), where we look at each market—its consumers, the middle class or just how they are behaving. Once you become consumer centric, a lot of things become clear, be it product categories, brands or innovation. Over the last 77 years, the objective has been to create the most amazing portfolio of prestige and luxury brands. In India, we invested in Forest Essentials, and now it's about bringing that to the forefront for the Indian consumer.

Q: Why is this moment so exciting for you?

A: We have a presence in prestige and luxury segments but remain affordable. We tap into the emerg-

“Experience is at the core of everything that the consumer wants. Technology helps with that. Today, we have a virtual trial for make-up where you can just look at your face through an AI tool”

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ing middle class and upper middle class, depending on the brand we sell. The middle class is growing the fastest in India, which is very interesting. Plus, beauty is a part of culture everywhere. Everybody uses a perfume, a skincare/hair product or make-up.

Q: What do you like about the retail space in India?

A: I think what you see in India is absolutely fascinating. Let's draw a parallel to a market like the US or Europe, where they started with brick-and-mortar and digital came at a much later stage. Now, let's look at China, where there is concentrated distribution with few points-of-sale, accompanied by quick expansion.

India is leapfrogging that because of digitalisation.